



Bill Number: H.B. 2010
Gowan ADD COW Floor Amendment
Reference to: House engrossed bill
Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

- Reduces, from 10 years to 5 years, the time period after a transaction for a purchaser of a digital good to be eligible for a prorated refund if there is a change in the terms of the license that affects the purchaser's access.

ADDITIONAL COW
GOWAN FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2010
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 44, chapter 10, article 5, Arizona Revised
3 Statutes, is amended by adding section 44-1484, to read:

4 44-1484. Digital goods; advertising disclosures; unlawful
5 practice; definitions

6 A. IT IS UNLAWFUL FOR A SELLER OF A DIGITAL GOOD TO OFFER FOR SALE
7 OR ADVERTISE A DIGITAL GOOD TO A PURCHASER USING THE TERMS "BUY" OR
8 "PURCHASE" OR ANY OTHER TERM THAT A REASONABLE PERSON WOULD UNDERSTAND TO
9 CONFER AN UNRESTRICTED OWNERSHIP INTEREST IN THAT DIGITAL GOOD, OR
10 ALONGSIDE AN OPTION FOR A TIME-LIMITED RENTAL, UNLESS EITHER OF THE
11 FOLLOWING OCCURS:

12 1. AT THE TIME OF EACH TRANSACTION, THE SELLER:

13 (a) MAKES AVAILABLE TO THE PURCHASER:

14 (i) A COMPLETE LIST OF RESTRICTIONS AND CONDITIONS FOR THE LICENSE,
15 INCLUDING ANY CIRCUMSTANCES UNDER WHICH ACCESS MAY BE REVOKED.

16 (ii) NOTICE THAT THE LICENSE MAY BE FOR A PRODUCT THAT WAS ALTERED
17 FROM THE PRODUCT'S ORIGINAL VERSION.

18 (b) RECEIVES AN AFFIRMATIVE ACKNOWLEDGEMENT FROM THE PURCHASER THAT
19 THE PURCHASER RECEIVED ALL OF THE FOLLOWING FROM THE SELLER:

20 (i) A LICENSE TO ACCESS THE DIGITAL GOOD.

21 (ii) A NOTICE THAT THE SELLER MAY REVOKE ACCESS TO THE LICENSE IF
22 THE PURCHASER VIOLATES ANY OF THE LICENSE RESTRICTIONS OR CONDITIONS.

23 (iii) A NOTICE THAT THE SELLER MAY UNILATERALLY REVOKE ACCESS TO
24 THE DIGITAL GOOD IF THE SELLER NO LONGER HOLDS THE RIGHT TO PROVIDE ACCESS
25 TO THE DIGITAL GOOD OR THE SERVICE IS SHUT DOWN OR DISCONTINUED OR ON THE
26 OCCURRENCE OF ANY OF THE CIRCUMSTANCES THAT WERE SPECIFIED BY THE SELLER.

27 2. BEFORE EXECUTING EACH TRANSACTION, THE SELLER PROVIDES TO THE
28 PURCHASER A CLEAR AND CONSPICUOUS STATEMENT THAT BOTH:

1 (a) STATES IN PLAIN LANGUAGE THAT BUYING OR PURCHASING A DIGITAL
2 GOOD IS A LICENSE.

3 (b) INCLUDES A HYPERLINK, QR CODE OR OTHER SIMILAR METHOD TO ACCESS
4 A DESCRIPTION OF THE TERMS AND CONDITIONS OF THE LICENSE.

5 B. ANY AFFIRMATIVE ACKNOWLEDGMENT FROM THE PURCHASER OR CLEAR AND
6 CONSPICUOUS STATEMENT PRESCRIBED BY SUBSECTION A OF THIS SECTION MUST BE
7 DISTINCT AND SEPARATE FROM ANY OTHER TERMS AND CONDITIONS OF THE
8 TRANSACTION THAT THE PURCHASER ACKNOWLEDGES OR AGREES TO.

9 C. AFTER THE TRANSACTION IS COMPLETED, IF THE TERMS OF THE LICENSE
10 CHANGE IN A WAY THAT MATERIALLY AFFECTS THE PURCHASER'S ACCESS, THE SELLER
11 SHALL PROVIDE NOTICE TO THE PURCHASER AND OFFER A PRORATED REFUND OR
12 ALTERNATIVE ACCESS OPTION. THE PRORATED REFUND SHALL BE CALCULATED ON A
13 STRAIGHT-LINE DECLINING BASIS AT A RATE OF TEN PERCENT OF THE ORIGINAL
14 PURCHASE PRICE PER YEAR FROM THE DATE OF PURCHASE, WITH NO REFUND
15 AVAILABLE AFTER THE EXPIRATION OF ~~[TEN]~~ [FIVE] YEARS FROM THE DATE OF
16 PURCHASE.

17 D. THIS SECTION DOES NOT:

18 1. REQUIRE A PERSON TO DOWNLOAD A DIGITAL GOOD.

19 2. PROHIBIT A PERSON FROM STORING A DIGITAL GOOD ON A SERVER FOR
20 ACCESS THROUGH THE INTERNET.

21 3. PROHIBIT A SELLER FROM IMPLEMENTING DIGITAL RIGHTS MANAGEMENT
22 TECHNOLOGY TO A DIGITAL GOOD THAT IS ADVERTISED OR OFFERED TO A PERSON
23 PURSUANT TO THIS SECTION.

24 4. PRESCRIBE THE TECHNICAL SPECIFICATIONS OR FORMATS UNDER WHICH A
25 SELLER MUST MAKE A DIGITAL GOOD AVAILABLE FOR DOWNLOAD.

26 5. APPLY TO ANY OF THE FOLLOWING:

27 (a) A SUBSCRIPTION-BASED SERVICE THAT ADVERTISES OR OFFERS FOR SALE
28 ACCESS TO ANY DIGITAL GOOD SOLELY FOR THE DURATION OF THE SUBSCRIPTION.

29 (b) A DIGITAL GOOD THAT IS ADVERTISED OR OFFERED TO A PERSON
30 WITHOUT MONETARY CONSIDERATION.

31 (c) A DIGITAL GOOD THAT IS ADVERTISED OR OFFERED TO A PERSON AND
32 THAT THE SELLER CANNOT REVOKE ACCESS TO AFTER THE TRANSACTION, INCLUDING
33 BY MAKING A VERSION OF THE DIGITAL GOOD AVAILABLE AT THE TIME OF PURCHASE
34 FOR PERMANENT OFFLINE DOWNLOAD TO AN EXTERNAL STORAGE SOURCE OR DEVICE TO
35 BE USED WITHOUT A CONNECTION TO THE INTERNET.

36 (d) A BLOCKCHAIN-BASED ASSET, INCLUDING A NON-FUNGIBLE TOKEN, WHERE
37 OWNERSHIP IS DECENTRALIZED AND NOT SUBJECT TO UNILATERAL REVOCATION BY THE
38 SELLER.

39 (e) AN EDUCATIONAL OR NONCOMMERCIAL DIGITAL GOOD THAT IS PROVIDED
40 BY A PUBLIC LIBRARY, EDUCATIONAL INSTITUTION OR OPEN-SOURCE PLATFORM.

41 E. A VIOLATION OF THIS SECTION IS AN UNLAWFUL PRACTICE PURSUANT TO
42 SECTION 44-1522. THE ATTORNEY GENERAL MAY INVESTIGATE AND TAKE
43 APPROPRIATE ACTION AS PROVIDED BY CHAPTER 10, ARTICLE 7 OF THIS TITLE.

44 F. FOR THE PURPOSES OF THIS SECTION:

45 1. "BLOCKCHAIN-BASED ASSET" MEANS A DIGITAL GOOD WHOSE OWNERSHIP
46 AND ACCESS ARE VERIFIED THROUGH A DECENTRALIZED LEDGER TECHNOLOGY,
47 INCLUDING BLOCKCHAIN TECHNOLOGY AS DEFINED IN SECTION 44-7061, AND THAT

1 CANNOT BE UNILATERALLY REVOKED OR ALTERED BY THE SELLER AFTER THE
2 TRANSACTION.
3 2. "CLEAR AND CONSPICUOUS":
4 (a) MEANS IN A MANNER THAT CLEARLY CALLS ATTENTION TO THE LANGUAGE.
5 (b) INCLUDES:
6 (i) USING LARGER TYPE THAN THE SURROUNDING TEXT.
7 (ii) USING CONTRASTING TYPE, FONT OR COLOR TO THE SURROUNDING TEXT
8 OF THE SAME SIZE.
9 (iii) SETTING OFF THE SURROUNDING TEXT BY USING SYMBOLS OR OTHER
10 MARKS.
11 3. "DIGITAL APPLICATION OR GAME" MEANS AN APPLICATION OR GAME THAT
12 A PERSON ACCESSES AND MANIPULATES USING A SPECIALIZED ELECTRONIC GAMING
13 DEVICE, COMPUTER, MOBILE DEVICE, TABLET OR OTHER DEVICE WITH A DISPLAY
14 SCREEN, INCLUDING ANY ADD-ONS OR ADDITIONAL CONTENT FOR THAT APPLICATION
15 OR GAME.
16 4. "DIGITAL AUDIOVISUAL WORK":
17 (a) MEANS A SERIES OF RELATED IMAGES AND ACCOMPANYING SOUNDS THAT
18 WHEN SHOWN IN SUCCESSION IMPART AN IMPRESSION OF MOTION.
19 (b) INCLUDES ANY OF THE FOLLOWING:
20 (i) MOTION PICTURES.
21 (ii) MUSICALS.
22 (iii) VIDEOS.
23 (iv) NEWS AND ENTERTAINMENT PROGRAMS.
24 (v) LIVE EVENTS.
25 5. "DIGITAL AUDIO WORK" MEANS A WORK THAT RESULTS FROM THE FIXATION
26 OF A SERIES OF MUSICAL, SPOKEN OR OTHER SOUNDS THAT ARE TRANSFERRED
27 ELECTRONICALLY, INCLUDING ANY OF THE FOLLOWING:
28 (a) PRERECORDED OR LIVE SONGS.
29 (b) MUSIC.
30 (c) ORAL READINGS OF BOOKS OR OTHER WRITTEN MATERIALS.
31 (d) SPEECHES.
32 (e) RINGTONES OR OTHER SOUND RECORDINGS.
33 6. "DIGITAL BOOK" MEANS A WORK THAT IS GENERALLY RECOGNIZED IN THE
34 ORDINARY AND USUAL SENSE AS A BOOK OF FICTION OR NONFICTION AND THAT IS
35 TRANSFERRED ELECTRONICALLY.
36 7. "DIGITAL CODE":
37 (a) MEANS A CODE THAT PROVIDES THE PERSON WHO HOLDS THE CODE A
38 RIGHT TO OBTAIN AN ADDITIONAL DIGITAL GOOD OR A DIGITAL AUDIOVISUAL WORK,
39 DIGITAL AUDIO WORK OR DIGITAL BOOK THAT MAY BE OBTAINED BY ANY MEANS,
40 INCLUDING TANGIBLE FORMS AND ELECTRONIC MAIL, REGARDLESS OF WHETHER THE
41 CODE IS DESIGNATED AS SONG CODE, VIDEO CODE OR BOOK CODE.
42 (b) INCLUDES ANY OF THE FOLLOWING:
43 (i) CODES THAT ARE USED TO ACCESS OR OBTAIN ANY SPECIFIED DIGITAL
44 GOODS OR ANY ADDITIONAL DIGITAL GOODS THAT HAVE BEEN PREVIOUSLY PURCHASED.
45 (ii) PROMOTION CARDS OR CODES THAT ARE PURCHASED BY A RETAILER OR
46 OTHER BUSINESS ENTITY FOR USE BY THE RETAILER'S OR ENTITY'S CUSTOMERS.

1 8. "DIGITAL GOOD":
2 (a) INCLUDES ANY OF THE FOLLOWING, WHETHER ELECTRONICALLY OR
3 DIGITALLY DELIVERED OR ACCESSED:
4 (i) A DIGITAL AUDIOVISUAL WORK.
5 (ii) A DIGITAL AUDIO WORK.
6 (iii) A DIGITAL BOOK.
7 (iv) A DIGITAL CODE.
8 (v) A DIGITAL APPLICATION OR GAME.
9 (b) DOES NOT INCLUDE ANY OF THE FOLLOWING:
10 (i) A CABLE TELEVISION SERVICE.
11 (ii) A SATELLITE RELAY TELEVISION SERVICE.
12 (iii) ANY OTHER DISTRIBUTION OF TELEVISION, VIDEO OR RADIO SERVICE.
13 Sec. 2. Short title
14 This act may be cited as the "Making Internet Non-ownership
15 Understandable for Streaming Act or the MINUS ACT".

16 Enroll and engross to conform
17 Amend title to conform

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